



THE FUTURIST'S STRATEGY CONE™ v4.0

The Operational Conformance Edition

An Independent Conceptual Governance Framework for Agentic AI in Internal Audit

Organizations are entering an era in which Agentic AI can perform increasingly sophisticated activities. As these capabilities expand, internal audit must evolve while preserving the profession's fundamental principles of governance, independence, objectivity, professional skepticism, due professional care, and human accountability.

THE FUTURIST'S STRATEGY CONE™ v4.0 is an independent conceptual governance framework developed to help organizations operationalize Agentic AI within internal audit through structured governance, risk-based oversight, and meaningful human decision-making.

The framework is intended to help organizations integrate Agentic AI into internal audit in a manner informed by the principles and objectives of the IIA Global Internal Audit Standards. It is

designed to complement—not replace— an organization's audit methodology, applicable professional standards, governance framework, and regulatory requirements.

The framework also draws on governance concepts reflected in recognized guidance, including:

- COSO Enterprise Risk Management (ERM)
- NIST AI Risk Management Framework (AI RMF)
- ISO/IEC 42001 Artificial Intelligence Management Systems
- OECD AI Principles

The framework is intended to be adapted to each organization's governance structure, regulatory environment, risk profile, audit methodology, technology environment, and applicable legal and professional requirements.

Framework Design Principles

1. Governance Before Automation

AI should strengthen governance, risk management, and internal control—not bypass established governance structures.

2. Human Accountability

Responsibility for governance decisions, risk acceptance, and audit conclusions cannot be delegated to an AI system.

3. Risk-Based AI Deployment

AI capabilities should operate within approved organizational objectives, risk appetite, materiality thresholds, and authorized audit methodology.

4. Professional Skepticism

AI may identify patterns, anomalies, and potential risks, but inquiry, challenge, corroboration, and professional judgment remain human responsibilities.

5. Independence and Objectivity

AI should support—but never impair—the independence, objectivity, integrity, or impartiality of the internal audit activity.

6. Transparency and Explainability

AI-assisted procedures should be transparent, explainable, appropriately documented, and subject to supervisory review.

7. Evidence-Based Governance

AI-supported audit activities should produce evidence that is relevant, reliable, and sufficiently documented to support professional judgment and audit conclusions.

8. Continuous Improvement

AI governance should evolve through quality assurance, performance monitoring, lessons learned, periodic reassessment, and emerging regulatory and technological developments.

9. Technology Supports Organizational Objectives

The purpose of AI-enabled internal audit is not to maximize automation. It is to enhance the organization's ability to achieve its objectives through effective governance, risk management, and internal control.

Guiding Principle

AI Enhances Capability. Humans Maintain Accountability.

Technology enhances assurance activities.

Professional judgment remains human.

Governance remains human.

Accountability remains human.

Independent Framework Notice

THE FUTURIST'S STRATEGY CONE™ v4.0 is an independent conceptual governance framework developed to contribute to professional discussion on AI-enabled internal audit. References to the IIA Global Internal Audit Standards and other governance frameworks are intended to describe shared governance concepts and principles. They do not imply certification, endorsement, approval, formal compliance, or affiliation with the Institute of Internal Auditors (IIA), COSO, NIST, ISO, the OECD, or any individual author or practitioner. Organizations should evaluate, adapt, and implement this framework in accordance with applicable laws, regulations, professional standards, and their own governance, risk, operational, and technology requirements.

THE FUTURIST'S STRATEGY CONE™

Reimagining Internal Audit for the Age of Agentic AI



By **Adnan Shamim**